The Clock Room and the Macro-Cognitive Accounting Framework: A Mapping-Chain Analysis of AI, Finance, and Algorithmic Platforms, a five-volume book (in both Chinese and English editions), is licensed under the Creative Commons Attribution-NonCommercial-NoDerivatives 4.0 International License (CC BY-NC-ND 4.0).

License summary: https://creativecommons.org/licenses/by-nc-nd/4.0/deed.en Legal code: https://creativecommons.org/licenses/by-nc-nd/4.0/legalcode.en

Separately, pursuant to Article 4(3) of Directive (EU) 2019/790, the author expressly reserves the right to reproduce and extract this work for the purposes of text and data mining, including text and data mining for the training, fine-tuning, or evaluation of artificial intelligence or machine-learning models. This reservation is intended solely to opt out of the exception or limitation provided for in Article 4(1). It does not affect Article 3 or any other applicable exception or limitation, nor does it reduce the rights granted under the CC license.

Uses that fall outside the scope of the CC license and require permission under applicable law require the author's prior written permission, obtainable at theclockroom@139.com.

When sharing this work under the license, you must provide appropriate attribution and a link to the license, indicate whether modifications were made, and not suggest that the author endorses you or your use. The work may be used only for noncommercial purposes, and adapted material may not be shared.

All rights not expressly granted under the license are retained by the author. Third-party materials in this book, if any, are governed by their original rights statements or licenses and are not deemed to be additionally licensed by the author of this book.

Content Disclaimer

The content of this book is academic research and thought experiments; its analysis is based primarily on historical data and published literature. The author has twelve years of experience in macro strategy research at financial institutions and currently holds no securities investment advisory license. This book does not constitute investment advice, technical implementation advice, or policy advice, nor a recommendation or an offer with respect to any security, financial product, or trading strategy. Readers should exercise independent judgment and bear the risks of their own decisions. Past performance is not indicative of future results.

Chapter 8 Appendix A: A History of Financial Advertising Regulation—A China-U.S.-Europe Comparison

Abstract

This appendix places the 2018 New Asset Management Regulations and the 2026 Administrative Measures for Online Marketing of Financial Products cited in Chapter 8 within the nearly century-long legislative genealogy of financial advertising regulation (1933–2026) in the United States, Europe, and China. The three regions differ in structure: the United States formed a three-layer superposition of anti-fraud, disclosure, and specific content prohibition, with disclosure as its dominant governance tool; the EU takes the "fair, clear and not misleading" principle as its linchpin, extending it into the content prohibitions of the Consumer Credit Directives and the product-documentation disclosure of the Key Information Document regime; China formed a triple superposition of an Advertising Law backbone, a financial sector-specific regulatory branch, and product structure constraint—product structure constraint is not unique to China: the U.S. and the EU likewise impose product-level constraints on fund capital structure, investment concentration, and target-market design; China's distinctiveness lies in the cross-institutional unified framework of the New Asset Management Regulations.

Viewed through the Narrative Arbitrage framework—the asymmetry between input-side risk and output-side narrative of financial products—the near-century of regulation presents a process in which jurisdictions continuously reconfigure their governance tools among disclosure, restriction, liberalization, and review—these tools provide institutional conditions for compressing the narrative load (ϕ) and thickening the legitimacy base ($\|L\|$),

yet the legislative trajectory alone cannot prove a sustained decline in the narrative leverage ratio. Korea and Japan move part of the verification process to before the advertisement is published, their distinctiveness lying in the organizational form of industry-association pre-vetting and member-level internal review—ex-ante control is not unique to them, as the U.S. likewise requires pre-use internal approval of retail communications and pre-use filing of certain advertisements. Three governance techniques are transferable to artificial intelligence (AI) governance: Section 17(b)-style disclosure of endorsement interests (Securities Act of 1933), trigger-term mandatory disclosure in the manner of the Truth in Lending Act (1968), and the behavioral architecture of the UK's 2023 cryptoasset financial promotion rules; stopping at the disclosure layer cannot address structural opacity.

AI governance is not uniformly situated at a single historical starting point—regulated sectors such as finance have already applied existing marketing and disclosure rules to AI-related activities, and the genuine gap lies in cross-scenario coverage differences and dedicated rules for general AI-capability claims, diffuse cognitive harm, and third-party evaluation.

Keywords

Financial Advertising Regulation; Narrative Arbitrage; Disclosure Paradigm; Anti-Fraud Paradigm; Prohibition-of-Misleading-Inducement Paradigm; Product Structure Constraint; New Asset Management Regulations; Administrative Measures for Online Marketing of Financial Products; Pre-Vetting

> This appendix is supplementary material to Chapter 8's main text—placing the 2018 New Asset Management Regulations cited in §4.1 and the 2026 "Administrative Measures for Online Marketing of Financial Products" cited in §7, Pathway One, within the nearly century-long legislative genealogy of financial advertising regulation (1933–2026) in the U.S., Europe, and China, to provide a historical reference for the institutional toolkit of AI governance. The appendix does not alter the main text's arguments but provides an institutional-historical foundation for the governance pathways proposed in the main text.

§A0 Purpose and Methodological Statement of the Appendix

Purpose: To answer three questions. 1. Where does the regulation of financial product advertising come from?—What are the legislative timelines in the U.S., Europe, and China; against what institutional background did each major regulation emerge, and which market failures or governance problems did it principally address? 2. How do the governance logics of the three regions differ?—The specific institutional combinations and scopes of application of the disclosure paradigm, the anti-fraud paradigm, the prohibition of misleading inducement paradigm, and the product structure constraint paradigm across the three regions. 3. What do these regulations imply for the "Narrative Arbitrage" framework of Chapter 8?—Which historical schemes that institutionally compress the asymmetry between "input-side risk/output-side narrative" can be migrated to the AI domain?

Methodological Statement: This appendix is an **institutional history and comparative law survey**. Three kinds of judgment are handled separately: the content and legal status of legislation (article numbers, dates of promulgation and entry into force, competent authorities) are verified against official texts and used as primary material; institutional interpretation distinguishes regulatory explanation from academic analysis, the latter cited as secondary material; implementation effects are assessed separately with enforcement and behavioral data,

which this appendix in principle does not undertake. For recent rules, the dates of proposal, adoption or approval, publication, and entry into force or application are separately noted; the existence of a text is not treated as evidence of effect. Time range: from the U.S. Securities Act of 1933 to China's "Administrative Measures for Online Marketing of Financial Products" in April 2026; regulatory status updated to October 2026 (see §A1.4). Product scope centers on securities, funds, and asset management, with coverage extending to consumer credit, crypto-assets, and AI financial products.

§A1 The United States: A Three-Layer Codified Structure of Disclosure—Anti-Fraud—Inducement Prohibition

§A1.1 Securities Act of 1933 §17: The Dual Origin of Anti-Fraud and Endorsement Disclosure

The Securities Act of 1933 is the starting point of the U.S. federal securities-publicity regulation examined in this appendix (the individual states had earlier, scattered experiments in advertising and securities regulation). §17(a) prohibits the use of fraudulent means in the offer and sale of securities; §17(b) is more specific—one who publicizes a security and receives or is to receive consideration, directly or indirectly, from the issuer, an underwriter, or a dealer must **disclose the fact and amount of such consideration** (SEC, 1933).

The design logic of §17(b) warrants repeated emphasis: its independent role is to require disclosure of the payment relationship on top of the general anti-fraud duty (§17(a))—even if the recommended content is not proven false, concealing the related compensation may still constitute a violation. Lawmakers in 1933 already recognized that **the non-transparency of the advertiser's identity and interest relationship to the reader is risk information independent of the truth or falsity of the content**.

Nearly ninety years later, this provision was used in 2022 to reach an administrative settlement with Kim Kardashian: she agreed to pay approximately $1.26 million, consisting of $250,000 in disgorgement, $10,415.35 in prejudgment interest, and a $1 million civil money penalty (her post carried an #AD label but did not disclose the source or amount of payment, so the case cannot be read as simply a failure to label an ad). The administrative order of the Securities and Exchange Commission (SEC) precisely determined in its factual findings: "On June 13, 2021, Kardashian—a well-known media personality and businesswoman—touted on social media a crypto asset security that was being offered and sold. Kardashian did not disclose that she was being compensated for giving such security publicity by the entity offering and selling the security. Kardashian's failure to disclose this compensation violated Section 17(b) of the Securities Act, which makes it unlawful for any person to promote a security without fully disclosing the receipt and amount of such consideration from an issuer" (*In the Matter of Kimberly Kardashian*, Securities Act Release No. 11116, Admin. Proc. File No. 3-21197, Part III, Summary ¶1, Oct. 3, 2022). EthereumMax paid Kardashian $250,000 in endorsement fees through an intermediary, and Kardashian failed to disclose the existence and amount of this compensation (33-11116, Part III, Summary ¶10).

The structural significance of this case is: the situation that 1933 legislators guarded against—"non-transparency of identity and interest relationship to the reader"—recurred in 2021 in a completely isomorphic form (approximately 225 million Instagram followers + undisclosed paid endorsement), and the applicability of the provision does not depend on technological form (whether small-stock promotion in 1933 or crypto tokens in 2021), but on the structural fact of "paid endorsement without disclosure" (SEC Press Release 2022-183, Oct. 3, 2022; 33-11116, Part III).

§A1.2 Restrictions on and Gradual Liberalization of Fund Advertising (1933–1979)

The 1933 restrictions on offering publicity formed the starting point, subsequently expanded through administrative interpretation, the 1954 amendments, and rule adjustments in the 1970s (U.S. SEC, Division of Investment Management, 1992); during the "waiting period" the tombstone advertisement was not the only permissible communication—oral offers were also allowed, and written offers had to meet the statutory prospectus requirements (Jeunemaître, 1997; Throop, 1937). This restriction became unsustainable in the 1970s as the mutual fund industry grew in scale.

In 1979, the SEC promulgated Rule 482 under the rulemaking power of Securities Act §10(b) (17 C.F.R. §230.482; adopted in 1979 as rule 434d and renumbered 482 in 1982), permitting fund advertising—such advertisements are "prospectuses" under Securities Act §10(b) (so-called "omitting prospectuses"): they may be published independently of the statutory prospectus document, but they carry the corresponding prospectus liability. The original 1979 rule limited their content to the substance of the information set out in the statutory prospectus ("the substance of which" is included in the statutory prospectus), a limitation eliminated by the 2003 amendments; the current rule permits advertisements to include information the substance of which is not included in the statutory prospectus, and requires advertisements including performance data to state that "past performance does not guarantee future results" (17 C.F.R. §230.482). This marked the establishment of the **"disclosure-restriction combination"** in modern financial advertising regulation: advertisements were permitted, but on the condition of prospectus-level information liability and accompanying performance disclosures.

§A1.3 Investment Advisers Act Rule 206(4)-1 (1961 → 2020 Modernization)

In 1961, the SEC promulgated the first version of the marketing rule, Rule 206(4)-1, under the Investment Advisers Act §206(4), long known as the "Advertising Rule." The original rule adopted a **prohibited-items list** structure, containing four per se prohibitions: prohibiting testimonial advertisements, prohibiting the citation of past specific recommendations, restricting pitches relying on charts and formulas in ways liable to mislead, and restricting "free" claims for services that were not entirely free (Chapman, 2020).

In December 2020, the SEC promulgated the modernized **Investment Adviser Marketing Rule**, simultaneously rescinding Rule 206(4)-3 (the solicitation rule) and rewriting Rule 206(4)-1. The new rule retained the general "anti-fraud" principle but liberalized the use of testimonials, endorsements, and third-party ratings, regulating them jointly through **seven general prohibitions** (prohibiting untrue or unsubstantiated statements, prohibiting omissions of material information, prohibiting unprovable claims, prohibiting misleading implications) and **specific conditions** for testimonials, endorsements, third-party ratings, and performance presentation (SEC Release IA-5653, 2020; 17 C.F.R. §275.206(4)-1). The compliance date was November 2022. The SEC promptly began enforcement: on March 18, 2024, it issued administrative orders on the same day against two investment advisers—Delphia (USA) Inc. and Global Predictions, Inc.—both for Marketing Rule violations, with the Global Predictions order covering multiple violations of the new rule, including testimonials disseminated without disclosing the conflicts of interest of the persons giving them, and hypothetical-performance advertisements directed at a mass audience without adopting the required policies and procedures (SEC Release No. IA-6573; IA-6574, Mar. 18, 2024).

In January 2026, SEC staff published new Frequently Asked Questions (FAQ) on net performance disclosure (SEC staff FAQs, updated 2026-01-15; see also Mayer Brown, 2026-01), clarifying that where the fees antic-

ipated to be charged to the advertisement's intended audience are higher than the actual fees charged to the portfolio, whether net performance calculated using actual fees violates the Marketing Rule's general prohibitions depends on the facts and circumstances of each advertisement, including relevant disclosures, rather than categorically requiring a model fee reflecting the anticipated fees; advisers may use various means to illustrate the effect of the differences between actual and anticipated fees on performance. These FAQs are SEC staff guidance, not rules adopted by the Commission, and do not by themselves create legal obligations (the same update also added a new FAQ providing conditional relief from the testimonial/endorsement disqualification for certain self-regulatory organization final orders; this appendix takes up only the net-performance FAQ).

§A1.4 FINRA Rule 2210: The Broker-Dealer Standard for Public Communications

Broker-dealers are subject to the Financial Industry Regulatory Authority (FINRA) Rule 2210—the consolidated rule version, approved in 2012 and effective February 4, 2013, categorizes public communications into three types (this version has since been further amended; the new amendment approved by the SEC in October 2026 is discussed below in this section): correspondence, retail communications, and institutional communications, graded by audience size and regulatory intensity (FINRA.org, Rule 2210).

Rule 2210(d)(1)(F), a content standard applicable to all public communications (correspondence, retail, and institutional), long prohibited the prediction or projection of future performance. In February 2026, FINRA filed with the SEC proposed amendments to align this rule with the new Marketing Rule, proposing to allow the use of performance projections where conditions such as audience-appropriate written policies and procedures, reasonable basis, record-keeping, and risk explanation are met, and generally not in communications directed at a mass audience or the general retail investor. Partial Amendment No. 1, responding to comments, removed the express reasonable-basis and supporting-records requirements, replacing them with a recordkeeping obligation covering the source of any projection or targeted return (FINRA taking the view that the rule's existing general content standards would preclude unreasonable projections); on October 15, 2026, the SEC approved the proposal as so modified (Release No. 34-106675)—the approval date and the implementation date should be recorded separately (FINRA will announce the implementation date by Regulatory Notice), and the applicable conditions are governed by the approved text and the subsequent implementation notice. This is a narrow exception added while retaining the general ban on performance projections, representing **a key step in the history of U.S. financial advertising regulation from prohibiting performance projections to conditionally permitting them** (proposal: Dechert, 2026-02; Morgan Lewis, 2026-03; SEC 34-104877, 2026; approval: SEC 34-106675, 2026-10-15).

§A1.5 Consumer Credit Advertising: TILA 1968 and the Federal Disclosure-Law Series

The Truth in Lending Act (TILA, 1968, 15 U.S.C. §1601 et seq.) is the cornerstone of U.S. consumer credit advertising regulation—enacted as Title I of the Consumer Credit Protection Act of 1968 (Pub. L. 90-321), whose Chapter 3, "Credit Advertising" (§§141–145), wrote trigger-term advertising regulation directly into the statute. TILA rests on two key techniques: it restricts the advertising of specific down-payment or installment terms that the creditor does not usually and customarily arrange (§142), and it prescribes corresponding accompanying disclosures for open-end and non-open-end credit respectively (§143–§144).

TILA's importance lies in establishing a paradigm that still dominates consumer financial advertising regulation today: **restricting the advertising of specific untruthful terms while requiring specific trigger terms to**

be accompanied by mandatory disclosures. Fleming (2018) notes that the disclosure paradigm had been experimented with in U.S. state law approximately sixty years before the 1968 TILA. TILA is also the starting point of a federal disclosure-law series: the Fair Credit and Charge Card Disclosure Act of 1988 extended the same "mandatory cost-structure disclosure" logic to credit cards, and the Truth in Savings Act of 1991 further extended it to the interest rates and fees of deposit products—the three share the same governance paradigm: correcting the information asymmetry of consumer financial products through disclosure rather than prohibition (Akerlof, 1970; Stigler, 1961; Edwards, 1996).

Beyond TILA's disclosure mainline, the U.S. established a separate anti-misleading branch for **mortgage advertising**: under its statutory authority (12 U.S.C. 5512, 5581; 15 U.S.C. 1638 note), the Consumer Financial Protection Bureau (CFPB) codified the mortgage advertising rules as **Regulation N (Mortgage Acts and Practices—Advertising, 12 C.F.R. Part 1014)**, prohibiting material misrepresentations in any mortgage credit product advertisement regarding interest rates, payment amounts, government endorsement, etc. (12 C.F.R. Part 1014; Federal Register, 2011-12-16). The rule originated in a 2009 congressional grant of specific rule-making authority to the Federal Trade Commission (FTC), with authority transferred to the CFPB after the 2010 Dodd-Frank Act (this legislative history is compiled from regulatory explanations and academic accounts, with the original legislative documents not verified item by item). The division of labor between Regulation N and TILA is broadly this: TILA centers on cost-and-terms disclosure while also restricting the advertising of credit terms not actually provided (§142), and Regulation N concentrates on prohibiting material misrepresentations in mortgage-credit promotion within its scope—the two differ in function but are not mutually exclusive.

§A1.6 Overall Architecture

U.S. financial advertising regulation exhibits a **three-layer superposition** structure:

- **First Layer (Anti-Fraud)**: 1933 Securities Act §17, 1934 Exchange Act §10(b), Investment Advisers Act §206—prohibiting false and misleading statements. This layer is the floor, non-waivable.
- **Second Layer (Disclosure)**: Rule 482, TILA, the 2020 SEC Marketing Rule's "performance disclosure package," Section 17(b) endorsement disclosure. This layer stipulates "what must be said."
- **Third Layer (Specific Content Prohibition)**: FINRA Rule 2210's ban on performance projections, SEC Marketing Rule's specific prohibitions. This layer stipulates "what cannot be said this way." (Section 17(b) is classified under the disclosure layer by its principal function—classification is by principal function, the same rule may also serve an anti-misleading function, and the three layers are not mutually exclusive legal categories.)

The combined effect of the three layers is: **The U.S. adopts a stance of "allowing much to be said but requiring full risk disclosure accompaniment"** for financial advertising; the core governance tool is disclosure, not prohibition.

§A2 The European Union and the United Kingdom: MiFID Dual Principles + Consumer Credit Directives

§A2.1 MiFID I (2004) to MiFID II (Adopted 2014, Applying from 2018)

The EU's financial advertising regulation centers on the **Markets in Financial Instruments Directive** (MiFID) framework. MiFID I (Directive 2004/39/EC) Article 19(2) for the first time required at the EU level that all

information from investment firms to clients (including marketing communications) be **fair, clear and not misleading** (Directive 2004/39/EC, Art.19(2)).

MiFID II (Directive 2014/65/EU, adopted and in force in 2014, with its transposition measures applying from 3 January 2018) continued and reinforced this principle in Article 24, and within the same article extended regulation from "content compliance" upward to "sales incentive structures":

- **Art. 24(1) General Principle**—investment firms shall "act honestly, fairly and professionally in accordance with the best interests of its clients" (Directive 2014/65/EU, Art.24(1)).
- **Art. 24(3) Information Compliance**—"All information, including marketing communications, addressed by the investment firm to clients or potential clients shall be fair, clear and not misleading. Marketing communications shall be clearly identifiable as such" (Art.24(3)).
- **Art. 24(10) Incentive Structure Compliance**—an investment firm "shall ensure that it does not remunerate or assess the performance of its staff in a way that conflicts with its duty to act in the best interests of its clients. In particular, it shall not make any arrangement by way of remuneration, sales targets or otherwise that could provide an incentive to its staff to recommend a particular financial instrument to a retail client when the investment firm could offer a different financial instrument which would better meet that client's needs" (Art.24(10)).

The combination of Art. 24(1)/(3)/(10) is the key technique by which the EU incorporates both "advertising content compliance" and "sales incentive compliance" into regulation at the text level—in the language of Chapter 8, it restrains narrative load on the numerator side (ϕ, in its advertising form) while reinforcing the legitimacy base on the denominator side ($\|L\|$, as an institutional foundation of integrity). In October 2024, the Central Bank of Ireland issued a "Dear CEO" letter, listing among its supervisory priorities whether marketing communications are clearly identifiable as such and whether risk-warning obligations are fulfilled on digital channels, among other matters (Central Bank of Ireland, 2024-10-10).

§A2.2 The "Three Principles" Enforcement Thread of MiFID II

At the enforcement level, "fair, clear and not misleading" is given concrete content by EU-level delegated regulation and member-state supervision (the identifiability of marketing communications is stated in MiFID II Art. 24(3) itself; font-size, layout, and medium-specific conditions are set out in Article 44 of Commission Delegated Regulation (EU) 2017/565—see §A2.6 and the Irish Central Bank's common-supervisory-action letter cited in §A2.1): 1. **clearly identifiable as marketing**: it must be immediately apparent that this is an advertisement, not independent research or educational content. 2. **balanced presentation of risks and benefits**: where potential benefits are mentioned, relevant risks must be presented fairly and prominently, in compliance with the applicable font-size and layout requirements; the concrete presentation must fit the medium, rather than mechanically matching page and font size across all channels. 3. **consistency across channels**: desktop, mobile, social media, and podcasts must all meet the applicable information and risk-warning requirements; the concrete presentation must fit the medium, but the medium's limitations may not be used to dilute key risk information.

ESMA's 2014 Peer Review (2014/1485) had already noted significant variation in enforcement intensity among member states—this is the classic dilemma of the EU's multi-level structure (principle-based legislation, refinement by delegated regulation, member-state implementation).

§A2.3 Consumer Credit Directives (CCD I → CCD II)

The evolution of EU consumer credit advertising regulation follows a similar path to the U.S. TILA: - **CCD I** (Directive 2008/48/EC): Consumer credit advertising must, when containing information on interest rates or any credit cost figures, disclose the Annual Percentage Rate (APR, a credit-cost measure calculated under the applicable rules) **by means of a representative example**. - **CCD II** (Directive (EU) 2023/2225, enacted 18 October 2023, member states to transpose into national law by 20 November 2025, with obligations applying from 20 November 2026): Its Article 8, "Standard information to be included in advertising concerning credit agreements," divides credit advertising regulation into three layers: - **(i) Mandatory Warning**—"Member States shall require that advertising concerning credit agreements include a clear and prominent warning to make consumers aware that borrowing costs money, using the wording 'Caution! Borrowing money costs money' or an equivalent wording" (Directive (EU) 2023/2225, Art.8(1)). - **(ii) Standard Information Disclosure**—if an advertisement mentions an interest rate or any credit cost figure, it must disclose "in a clear, concise and prominent way" the borrowing rate, total credit amount, APR, contract duration, total amount payable, and installment amounts, by means of a representative example (Art.8(3)–(4)). - **(iii) Content Prohibition**—"Member States shall prohibit advertising for credit products which: (a) encourages consumers to seek credit by suggesting that credit would improve the financial situation of those consumers; (b) specifies that outstanding credit agreements or registered credit in databases have little or no influence on the assessment of a credit application; (c) falsely suggests that credit leads to an increase in financial resources, constitutes a substitute for savings or can raise a consumer's living standards" (Art.8(7)).

The significance of Art. 8(7) is that it marks a substantive leap in EU consumer credit legislation from the **disclosure paradigm** ("what must be said") toward **content restriction**—though the three prohibitions do not share identical elements: items (a) and (b) do not require falsity, while item (c) still presupposes a "falsely suggests" condition, so the article cannot be summarized as a blanket ban regardless of truth; Art. 8(8), moreover, is a matter member states "may prohibit," to be distinguished from what they "shall prohibit." This is an institutional counterstrike against what Chapter 8's §2 calls "Pseudo-Small Fiber": restricting implications such as "credit makes life better" at the statutory level (Directive (EU) 2023/2225, Art.8(7)–(8)).

§A2.4 PRIIPs KID and UCITS KIID: Standardized Disclosure for EU Retail Investors

Beyond MiFID II's conduct-level principle that "marketing communications shall be fair, clear and not misleading," the EU also established a set of **product-level standardized disclosure** rules, directly prescribing the documentary form a retail investor must receive before purchase.

- **UCITS KIID (Key Investor Information Document)**: under the UCITS IV Directive (Directive 2009/65/EC) and its implementing measure Commission Regulation (EU) No 583/2010, an undertaking for collective investment in transferable securities (UCITS) must provide retail investors with a "Key Investor Information Document," presenting the product's objectives, risk-reward profile and costs in a standardized, comparable format (Moloney, 2014; Commission Regulation (EU) No 583/2010).
- **PRIIPs KID (Key Information Document)**: the Packaged Retail and Insurance-based Investment Products Regulation (PRIIPs Regulation, Regulation (EU) No 1286/2014, [2014] OJ L352/1) extends this logic from UCITS to almost all "packaged" retail investment products. Its core requirement is a **standalone Key Information Document of no more than three sides of A4-sized paper when printed**, which must be "fair, clear and not misleading" and answer, in a standardized question structure, "What

is this product?", "What are the risks and what could I get in return?", "What are the costs?", etc.; the presentation, content, and risk-reward-cost methodology of the KID were set out in the draft regulatory technical standards submitted in 2016 by the Joint Committee of the European Supervisory Authorities (JC ESAs) (2016 RTS, a document from the rule-making process), and ultimately enacted as Commission Delegated Regulation (EU) 2017/653 of 8 March 2017 (OJ L 100, 12.4.2017) (Regulation (EU) No 1286/2014; JC ESAs, 2016; Commission Delegated Regulation (EU) 2017/653; Moloney, 2014).

The above is an account of the institutional history of the two documents; it does not indicate that the two remained parallel obligations for the same retail product in 2026—at the EU level, the UCITS exemption from the PRIIPs Regulation ended on 30 June 2022, and UCITS offered to EU retail investors have therefore been within the scope of the PRIIPs KID obligation since July 2022; from January 2023, the KID is deemed to satisfy the UCITS key-investor-information requirements, so that investors no longer receive both documents for the same product (Regulation (EU) No 1286/2014, Art. 32, as amended by Regulation (EU) 2021/2259; Directive (EU) 2021/2261; for consolidated Q&A practice see JC ESAs, 2023). Other investor categories and third-country regimes must be distinguished separately.

The significance of the PRIIPs/UCITS regime in Chapter 8's language is that it does not restrict "what may be said" on the numerator side; rather, before a transaction is concluded it **provides a standardized, comparable product statement** enabling investors to check marketing claims against the product's risks, returns, and costs—institutionally thickening the legitimacy base ($\|L\|$) and compressing the retail investor's cognitive gap between "advertising narrative" and "the product's true risk-reward." The distinctive comparative feature of the EU's KID regime lies in the simplicity, standardized structure, and cross-product comparability of the document; when compared with the U.S., the relevant benchmark is the latter's existing prospectus and other pre-transaction disclosure arrangements (delivery timing, delivery method, and exemption conditions vary by product and offering), not an image of the U.S. as having "only advertising disclosure."

§A2.5 UK FCA: Cryptoasset Financial Promotion Regime (2023)

The statutory foundation of the UK's financial promotion regime is Section 21 of the Financial Services and Markets Act 2000 (FSMA 2000)—it establishes a **general prohibition**: unless issued or approved by an authorised person, no person may, in the course of business, communicate an invitation or inducement to engage in investment activity; the scope of exemptions is defined by the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (SI 2005/1529), while the Financial Conduct Authority (FCA) makes the specific financial promotion rules under FSMA s137R (*Halsbury's Laws of England*, Vol. 50, *Financial Services Regulation*; FSMA 2000, s 21).

On top of this statutory framework, the FCA Handbook's *Conduct of Business Sourcebook* (COBS) Part 4 (COBS 4) is the core set of rules for financial promotions—within it, COBS 4.2 establishes "fair, clear and not misleading" as the basic requirement for all client-facing communications, corresponding to MiFID II Art.24(3), the Insurance Distribution Directive (IDD) Art.17(2), and the UCITS Directive Art.77 (FCA Handbook, COBS 4.2).

After Brexit, the UK independently constructed a more aggressive crypto promotion regime on this basis: in June 2023, the FCA issued **PS23/6 *Financial Promotion Rules for Cryptoassets***, classifying cryptoassets as "Restricted Mass Market Investments" (RMMI). The core restrictions, in the FCA's own summary, are: "clear

risk warnings, banning incentives to invest, positive frictions, client categorisation requirements and appropriateness assessments" (FCA PS23/6, §1.23, June 2023); the rules took effect on 8 October 2023 (FCA PS23/6; Clifford Chance, 2023-07).

PS23/6 breaks down its implementation into four specific requirements: 1. **Risk warnings must be prominently presented**: specifying prominence requirements—legibility, containment in its own border, bold/underlined text—and, for websites and mobile applications, static fixation at the top of the screen even when the client scrolls (PS23/6, §3.8 and Table 2; the personalised risk warning at §3.33 and Table 3). 2. **24-hour cooling-off period for first-time investors**: retail clients investing with a firm for the first time must wait at least 24 hours after requesting to proceed—and reconfirm their request—before they can receive a direct offer financial promotion; the FCA formally clarified how this cooling-off period applies in PS23/6 (PS23/6, §3.19, §3.25, and Our response). 3. **Appropriateness test and client categorization**: The appropriateness test examines the client's knowledge and experience of the specific product; client categorization and the corresponding financial conditions are addressed separately. 4. **Prohibition of refer-a-friend bonuses**: cutting off the "viral marketing" boost to retail crypto investment.

PS23/6's own classification language is noteworthy: it places "positive frictions" as an independent regulatory tool on par with disclosure and prohibition (the regime adapts the high-risk investment rules consulted on in January 2022 (CP22/2) and published in August 2022 (PS22/10) to qualifying cryptoassets within the defined scope, rather than introducing these rules for the first time). In the language of Chapter 8, the 24-hour cooling-off period delays first-time investment decisions while the refer-a-friend ban restricts incentivized solicitation and diffusion—the two act respectively on the speed of behavioral conversion and the range of dissemination, and can be jointly explained in Chapter 8's framework as constraints on transmission conditions (the media conductivity coefficient Λ)—not restricting what can be said, but **constraining the speed and diffusion of converting the impulse to invest into transaction action.** PS23/6 is thus a **hybrid governance of "disclosure + behavioral architecture"**—it not only specifies what must be disclosed, but also directly intervenes in the rhythm of the client's decision-making process.

§A2.6 Overall Architecture

Characteristics of EU financial advertising regulation: - **Principles combined with specific rules**: MiFID II Article 24 establishes the general requirement of "fair, clear and not misleading," and EU-level delegated regulation (e.g., Article 44 of 2017/565) further specifies concrete conditions such as risk presentation, font size, and layout; member-state competent authorities carry out enforcement, and ESMA performs coordination and guidance functions. - **Extension of content-prohibition tools**: At the EU level, CCD II added content prohibitions for specific credit-advertising practices; the UK (an independent post-Brexit path) combined content prohibition with behavioral friction in PS23/6. Both display tools that go beyond general disclosure obligations, but the cases listed in this appendix are insufficient to rank the overall prohibition intensity of the U.S., the EU, and the UK. - **Cross-border coordination challenge**: Member-state authorities carry out enforcement while ESMA performs coordination and guidance; ESMA's 2014 peer review documented, at that time, relevant differences among national authorities in supervision and enforcement (including the frequency and scope of on-site inspections and thematic reviews, and the paucity of related sanctions). Coordination costs thereby constitute a persistent challenge of the EU's multi-level structure; their present magnitude, and their relative weight against other structural weaknesses, require updated evidence, and this appendix does not rank them.

§A3 China: Advertising Law Backbone + Financial Sector-Specific Regulatory Branch

§A3.1 1994 Advertising Law: Starting Point and Gaps

The *Advertising Law of the People's Republic of China*, promulgated in October 1994 and effective February 1995, elevated advertising regulation to the level of specialized legislation and is the starting point of this appendix's main line (it was preceded by the 1982 *Interim Regulations on Advertising Administration* and the 1987 *Regulations on Advertising Administration*). However, this initial version was sparse in provisions and had almost no specific clauses for financial advertising; for a long time, financial advertising was regulated in a fragmented manner by the *Anti-Unfair Competition Law* (1993) and various business-specific regulatory measures (e.g., Article 78 of the Securities Law as amended in 2005 containing prohibitions on fabricating and spreading false information and misleading publicity; after the 2019 revision the corresponding prohibition is found principally in Article 56).

§A3.2 Major Amendment of the Advertising Law in 2015: Refining False-Advertising Determination and Investment-Advertising Rules

On April 24, 2015, the 14th Session of the Standing Committee of the 12th National People's Congress passed a comprehensively amended version of the Advertising Law, effective September 1, 2015. This amendment brought several key advances for financial advertising: 1. **Article 28 systematically enumerates the circumstances for determining false advertising**—the enumeration of five categories (non-existent goods or services, exaggerated performance or functions, use of fabricated data, etc.) improved the applicability of the rules (truthfulness requirements and liability for false advertising already existed before) (Advertising Law 2015 Amendment, Art. 28). 2. **Endorser liability**—Article 56 imposes on the endorser joint and several liability with the advertiser for false advertisements concerning goods or services that bear on consumers' life or health; for other goods or services, the endorser bears the same liability where he or she knew or should have known that the advertisement was false yet still recommended or attested to it—the life-and-health standard is not a uniform rule, and ordinary advertisements are conditioned on knowledge or constructive knowledge. 3. **Special rules for financial investment advertising**—Article 25 stipulates that advertisements for goods or services involving investment solicitation and other activities with expected investment returns must provide reasonable warnings or alerts about potential risks and the bearing of risk liability, and shall not contain the following: (1) making guaranteed promises regarding future effects, returns, or related circumstances, or explicitly or implicitly indicating principal protection, risk-free, or guaranteed returns, except as otherwise prescribed by the State; (2) recommendations or testimonials using the names or images of academic institutions, industry associations, professionals, or beneficiaries.

Article 25 is the **core provision** of China's financial advertising regulation—it admits of a functional comparison with FINRA Rule 2210(d)(1)(F)'s restriction on performance projections and with MiFID II Article 24's "not misleading" principle; but the three differ in applicable subjects, prohibited content, and exception conditions, and do not constitute a clause-level one-to-one correspondence, Article 25's formulation being the more operational.

§A3.3 2016 Special Rectification of Internet Financial Advertising

In April 2016, the General Office of the State Council issued the *Implementation Plan for the Special Rectification of Internet Financial Risks*; that same month, the State Administration for Industry and Commerce, the Cyberspace Administration, and fifteen other agencies issued the *Implementation Plan for Carrying Out the Special Rectification of Risks in Internet Financial Advertising and Financial Activities Conducted in the Name of Investment and Wealth Management*. This was China's **first comprehensive intervention** in the special governance of financial advertising—targeting internet financial advertising for peer-to-peer (P2P) lending, down-payment loans, stock margin financing, and other areas centered on guaranteed-promise rhetoric such as principal protection, risk-free, or guaranteed returns.

§A3.4 2018 New Asset Management Regulations: Governance Extending from Advertising to Product Structure

In April 2018, the "One Bank, Two Commissions, One Bureau" jointly issued the *Guiding Opinions on Regulating the Asset Management Business of Financial Institutions* (the New Asset Management Regulations). The regulations themselves are not advertising law, but through **three core operations**—look-through supervision, breaking implicit guarantees and prohibiting capital pools, and net-value-based management—they directly reshaped the expressible space of "wealth management product advertising": - **Breaking implicit guarantees** removed the legal basis for the "principal and return guaranteed" narrative in the underlying product. - **Net-value-based management** removed the formal basis for the "stable returns" narrative resting on amortized-cost measurement (subject to the exception for qualifying products eligible for amortized-cost accounting). - **Look-through supervision** removed the shielding space for the "safe underlying assets" narrative in information disclosure.

The New Asset Management Regulations and the 2015 Advertising Law Article 25 formed a **double encirclement of "advertising content prohibition + product structure constraint"**—China's distinctiveness lies in bringing implicit guarantees, capital pools, nesting, and valuation management into a cross-institutional unified framework and linking it with advertising-content requirements; product structure constraint itself is not unique to China (see the §A4.2 table), the difference lying in the institutional combination.

§A3.5 2020 Measures for the Protection of Financial Consumers' Rights and Interests

In September 2020, the People's Bank of China issued the *Implementation Measures of the People's Bank of China for the Protection of Financial Consumers' Rights and Interests* (effective from 1 November 2020; applicable to banking financial institutions and non-bank payment institutions). Article 23 stipulates that in marketing and publicity activities, banks and payment institutions shall not: (1) engage in false, fraudulent, concealing, or misleading publicity; (2) cite untrue or inaccurate data and materials, or conceal restrictive conditions, so as to exaggerate past performance or product returns; (3) use the financial regulators' review or filing procedures for financial products or services to mislead financial consumers into believing that the regulators have guaranteed those financial products or services; or (4) explicitly or implicitly indicate principal protection, risk-free, or guaranteed returns, or make guaranteed promises regarding the future effects, returns, or related circumstances of non-principal-protected investment products (a further catch-all item covers "other acts in violation of laws, regulations, and regulatory provisions on the protection of financial consumers' rights and interests")—reinforcing the 2015 Advertising Law Article 25 at the institutional compliance level.

§A3.6 Two Minor Amendments to the Advertising Law (2018/2021)

- Amended on October 26, 2018, by the 6th Session of the Standing Committee of the 13th NPC (pursuant to the *Decision on Amending Certain Laws*);
- Amended on April 29, 2021, by the 28th Session of the Standing Committee of the 13th NPC.

Both amendments were minor adjustments ancillary to other legislation; the core financial advertising clause (Article 25) remained unchanged.

§A3.7 2026 Administrative Measures for Online Marketing of Financial Products

On April 24, 2026, the People's Bank of China, Ministry of Industry and Information Technology, State Administration for Market Regulation, National Financial Regulatory Administration, China Securities Regulatory Commission, National Intellectual Property Administration, Cyberspace Administration of China, and State Administration of Foreign Exchange—**eight agencies jointly issued** the *Administrative Measures for Online Marketing of Financial Products*, Joint Announcement [2026] No. 9 of the eight agencies (the announcement is dated 21 April 2026 and was made public on 24 April) (Securities Times, 2026-04-24; Xinhua News Agency, 2026-04-24; NFRA, 2026-04-24 Q&A).

Core elements: 1. **Prohibition of inducement language**: Explicitly prohibits specific rhetoric such as "low risk," "low threshold," "instant availability of funds," "high return," "low interest rate," and "no cost" (author's translation). 2. **Prohibition of listing financial products as payment tool options**: Non-bank payment institutions shall not list loans, asset management products, and other financial products as payment tool options (i.e., "embedded credit in payments" is severed; the Measures take effect from September 30, 2026). 3. **Prominent disclosure of risk attributes and authorized geographic service areas**: The risk-warning requirement is concretized into the clarity, prominence, and mode of presentation of the information. 4. **Reinforcing primary entity responsibility**: Financial institutions are responsible for the legality and compliance of online marketing content and must establish review working mechanisms; third-party internet platforms must strengthen information disclosure. 5. **Marketing personnel management**: Marketing financial products via public accounts, live streaming, or short videos must use online marketing content reviewed and approved by the financial institution (i.e., marketing personnel may not use promotional content that the institution has not reviewed and approved).

In the Macro-Cognitive Accounting Framework (MCAF) language of Chapter 8, these three sets of operations correspond respectively to: prohibiting inducement language—suppressing narrative load (ϕ); prohibiting embedding credit into payment processes—inserting behavioral friction into the transaction interface and thereby constraining the speed and diffusion described by the media conductivity coefficient (Λ), on the same footing as §A2.5's reading of the 24-hour cooling-off period and the refer-a-friend ban; any resulting increase in consumers' independent verification must be established separately before it can be recorded, in the relevant context, as meta-audit capacity (A), and should not be equated with cognitive friction ($\mu_c = A \cdot E_c$); mandating risk warnings—presenting risk attributes prominently to restore the user's verification opportunity before the decision (whether this obligation shortens the institutional defense clock τ_{def} is a separate judgment at the governance-clock level, and no claim is made on it here). The first three items correspond respectively to advertising-content constraint, transaction-interface constraint, and risk warning; items 4 and 5 reinforce the review and traceability of marketing content through primary responsibility and personnel management.

§A3.8 Overall Architecture

China's financial advertising regulation exhibits a triple superposition of **"Advertising Law backbone + financial sector-specific regulatory branch + product structure constraint"**: - **Advertising Law backbone**: 1994 origin, 2015 major amendment (Article 25), 2018/2021 minor adjustments. - **Financial sector-specific regulatory branch**: 2016 special rectification of internet finance, 2020 measures for financial consumer protection, 2026 administrative measures for online marketing, local practices (e.g., Shanghai). - **Product structure constraint**: the 2018 New Asset Management Regulations apply cross-institutional combined governance to the asset management business, bringing implicit guarantees, capital pools, nesting, and valuation management into a unified framework. This layer is not unique to China—Section 18 of the U.S. Investment Company Act imposes capital-structure and leverage limits, Article 52 of the UCITS Directive imposes investment-concentration limits, and MiFID II Art. 24(2) requires product design to match an identified target market; the difference lies in scope, institutional configuration, and enforcement, not in presence or absence.

§A4 Cross-Regional Horizontal Comparison

§A4.1 Legislative Timeline Alignment

Year	United States	EU / UK	China
1933	Securities Act §17 anti-fraud, §17(b) endorsement disclosure	—	—
1968	TILA: consumer credit APR disclosure	—	—
1979	SEC Rule 482: fund advertising liberalized	—	—
1994	—	—	Advertising Law, initial version
2000	—	UK FSMA 2000 §21 general prohibition on financial promotion	—
2004	—	MiFID I Art. 19(2) "fair, clear and not misleading"	—
2008	—	CCD I: consumer credit APR representative example disclosure	—
2011	CFPB Regulation N (mortgage advertising anti-misleading, 12 CFR 1014)	—	—

Year	United States	EU / UK	China
2013	Federal Financial Institutions Examination Council (FFIEC) social media compliance guidance	—	—
2014	—	MiFID II enacted; PRIIPs Regulation (EU) 1286/2014	—
2015	—	FCA FG15/4 social media financial promotion guidance	Advertising Law major amendment, Art. 25 financial ad special provision
2016	—	—	Special rectification of internet financial advertising (17 agencies)
2018	—	MiFID II transposition measures begin to apply (2018-01-03)	New Asset Management Regulations (One Bank, Two Commissions, One Bureau)
2020	SEC Marketing Rule (Rule 206(4)-1 rewritten)	—	Measures for Protection of Financial Consumers' Rights (PBOC)
2022	SEC administrative settlement with Kardashian (Section 17(b))	—	—
2023	—	CCD II (Directive 2023/2225); UK PS23/6 crypto promotion regime	—
2025–2026	SEC Marketing Rule new FAQs; FINRA 2210 amendment (proposed 2026-02, approved by the SEC 2026-10-15)	CCD II member state transposition deadline (2025-11), obligations applying from 2026-11-20	*Administrative Measures for Online Marketing of Financial Products* (eight agencies, published 2026-04-24, effective 2026-09-30)

§A4.2 Specific Institutions and Scopes of Application of the Four Governance Paradigms

This appendix consolidates financial advertising governance tools into four paradigms (for the doctrinal classification of regulatory tools, see Armour et al., 2016):

Paradigm	Operation	Representative Regulations
Disclosure	Stipulates "what must be said"	TILA, SEC Rule 482, MiFID II Art. 24, CCD I
Anti-Fraud	Stipulates "no lying"	1933 Securities Act §17(a), Exchange Act §10(b), Advertising Law Art. 28
Prohibition of Misleading Inducement	Imposes dedicated restrictions on inducement language, guaranteed-promise claims, and solicitation or incentive mechanisms; proof of falsity is not a uniform prerequisite, and particular provisions carry their own falsity, audience, procedural, or exception requirements	FINRA 2210(d)(1)(F), Advertising Law Art. 25, UK PS23/6, China's 2026 Online Marketing Measures
Product Structure Constraint	Directly compresses "what there is to say"	China 2018 New Asset Management Regulations

Specific institutions and scopes of application across the three regions:

Governance Tool	United States	EU / UK	China
Disclosure	Rule 482 (fund advertising deemed a prospectus, with a mandatory performance-risk warning for advertisements containing performance data); TILA §§143–144 trigger-term disclosure (consumer credit advertising); 2020 Marketing Rule (adviser performance-disclosure package); Securities Act §17(b) (endorsement disclosure, also serving anti-misleading purposes, non-exclusive with the anti-fraud row)	MiFID II Art. 24(3) (all client information and marketing communications of investment firms); CCD I/II representative-example APR (credit advertising); UCITS KIID / PRIIPs KID (standardized pre-purchase documents)	Advertising Law Art. 25 risk-warning duty; 2020 PBOC Measures Art. 23; 2026 Measures' prominent risk-warning (clarity, prominence, and presentation requirements)

Governance Tool	United States	EU / UK	China
Anti-Fraud	Securities Act §17(a)/§17(b) (offers and endorsements); Exchange Act §10(b); CFPB Regulation N (prohibition of misrepresentations in mortgage advertising)	MiFID II Art. 24(3) "not misleading" requirement (including marketing communications, via member-state implementation)	Advertising Law Art. 28 (characterization of false advertising)
Inducement Prohibition	FINRA 2210(d)(1)(F) (ban on performance projections applicable to all public communications; the proposal of February 2026, as modified by partial amendment, was approved by the SEC on 2026-10-15, conditionally permitting projections)	CCD II Art. 8(7) (three categories of prohibited credit advertising); UK PS23/6 (ban on incentives and refer-a-friend bonuses in crypto promotions)	Advertising Law Art. 25 ban on guaranteed promises and endorsements; 2016 special rectification of internet financial advertising; 2026 Measures' ban on inducement language and payment-embedded credit
Product Structure Constraint	Investment Company Act §18 (limits on senior securities, borrowing, and asset coverage; confined to the fund-law level)	UCITS Art. 52 (investment concentration); MiFID II Art. 24(2) (product target-market design); scattered at the directive level	New Asset Management Regulations (unified governance of implicit guarantees, capital pools, multi-layer nesting, and net-value-based valuation; a cross-institutional unified framework)

Interpretation: The U.S. leans toward disclosure, the EU toward principles, and China encompasses both—China's distinctiveness lies not in whether it has product structure constraint, but in the New Asset Management Regulations' cross-institutional unified framework covering implicit guarantees, capital pools, nesting, and valuation, which compresses the space of "inducement narratives" from the product side; the corresponding U.S. and EU constraints are scattered across the fund-law and directive levels, differing in scope, institutional configuration, and enforcement. This is intrinsically consistent with the governance logic of Chapter 8, §7, Pathway One, "mandatory accounting $D_c^{obs} \to D_c^{true}$" (observable cognitive debt converging to true cognitive debt)—"mandatory accounting" belongs to information obligations and auditability-building, complementary to—but not identical with—product structure constraint. Whether the Narrative Arbitrage of financial products can be continuously and effectively suppressed across media generations, or whether it captures new institutional vacuums at each media transition, depends on the persistence of the regulatory direction.

§A4.3 Differences in Enforcement Mechanisms

Mechanism	United States	EU / UK	China
Primary Enforcement Bodies	SEC, FINRA, CFPB, FTC	EU: ESMA and national competent authorities (e.g., Germany's BaFin, France's AMF); UK: the FCA and other domestic authorities	People's Bank of China (PBOC), China Securities Regulatory Commission (CSRC), National Financial Regulatory Administration (NFRA), State Administration for Market Regulation (SAMR)
Civil Remedy Pathways	§10(b) private right of action, TILA statutory damages (individual and collective channels coexist)	Varies by member state (some jurisdictions have collective redress mechanisms)	Administrative handling predominates; civil remedies proceed separately through tort and contract
Multi-Level Regulatory Coordination	Mature federal–state division	ESMA coordination + member-state enforcement (supranational–national, two levels)	Centrally unified; cross-border FinTech coordination mechanisms are still under development
Principal Liability and Disposal Instruments	Civil fines, criminal prosecution	Administrative fines, market bans	Administrative fines, product rectification, license revocation

§A4.4 Speed of Response to "New Technologies"

- **United States**: **Event-driven**—celebrity crypto endorsements (2022 Kardashian, administrative settlement), Robinhood's misleading statements about revenue sources and failure to satisfy the duty of best execution (2020, enforcement), and the special purpose acquisition company (SPAC) boom (2020–2021, addressed by separate rulemaking in 2024) each triggered SEC enforcement or rulemaking responses (SEC, 2020; SEC, 2024), but dedicated legislation lags.
- **EU / UK**: **Principle adaptation**—MiFID II's "fair, clear and not misleading" is a universal principle continuously migratable to new products; the UK's regulation of cryptoasset financial promotions proceeded along a verifiable time chain—consultation in January 2022 (CP22/2), policy statement in June 2023 (PS23/6), rules in force in October 2023—adapting existing high-risk investment governance tools to qualifying cryptoassets within the defined scope.
- **China**: **special rectification + centralized rule supply**. The 2016 documents are multi-agency special-rectification work plans issued with the approval of the State Council (the rectification ran from April 2016 to January 2017) and are not legislation; the 2026 Administrative Measures are a rule-type instrument published by eight agencies as Joint Announcement No. 9 and effective from 30 September 2026. The two represent a combination of governance action and rule supply; as to the "post-event" framing, the materials at hand identify no triggering event, shared or separate (the 2026 Q&A cites only policy-process

background), so the two should not jointly be described as "post-event centralized legislation." The three regions' cases display different institutional response combinations; to compare response speed and enforcement effect, one must first unify the event starting point, product scope, and evaluation criteria—this appendix does not rank the above cases as "one step slower" or "considerably forceful in implementation."

§A4.5 Special Rules for Social-Media Financial Advertising (2013–2024)

As financial marketing migrated to social media, the U.S. and U.K. successively issued dedicated guidance (both regulatory guidance rather than statute): - **U.S. FFIEC (2013)**: The Federal Financial Institutions Examination Council issued *Social Media: Consumer Compliance Risk Management Guidance*, requiring financial institutions to incorporate social media into their existing compliance and risk-management frameworks, and clarifying that existing consumer-protection laws apply equally to social-media channels, naming among others TILA/Regulation Z, the Truth in Savings Act/Regulation DD, and the Equal Credit Opportunity Act/Regulation B (FFIEC, 78 Fed. Reg. 76297, Dec. 17, 2013; OCC Bulletin 2013-39). - **U.K. FCA FG15/4 (2015)**: The FCA issued finalised guidance *Social Media and Customer Communications*, establishing the principle that each individual promotion (e.g., a single tweet) must be compliant in itself and that, where a promotion triggers risk-warning requirements, the warning must not reside solely in the tweet's image or similar carrier (image display may be switched off so that the image degrades to a link); this guidance was superseded in March 2024 by **FG24/1 *Financial Promotions on Social Media***, which further brings "finfluencers" within scope (FCA FG15/4, March 2015; FCA FG24/1, March 2024).

What the two guidance documents share is the extension of media applicability: rather than creating new prohibitions, they push their respective existing consumer-protection or financial-promotion obligations **down to the unit granularity of social media** (a single tweet / a single short video; on the U.S. side, the extension of existing consumer-protection laws such as TILA/Regulation Z; on the UK side, the descent of the "fair, clear and not misleading" principle)—the common element is the media logic, not joint reliance on one and the same statutory principle. This echoes Chapter 8's judgment that "output-side narrative recaptures institutional vacuums on new media."

§A4.6 Supplement from Other Jurisdictions: The Pre-Vetting Paradigm of Korea and Japan

Beyond the three regions of China, the U.S., and Europe, Korea and Japan offer a more upstream governance paradigm—**pre-publication advertising review (pre-vetting)**. Korea's enabling statute, the *Act on Registration of Credit Business and Protection of Finance Users* (Credit Business Act; Act No. 18713, amended 4 January 2022, effective 5 July 2022), Article 9-2 (prohibiting unregistered operators from publishing loan advertisements) and Article 9-3 (Prohibition of False or Exaggerated Advertising) provide the legal basis for advertising regulation—the former prohibiting unregistered operators from publishing loan advertisements, the latter prohibiting registered operators from making false or exaggerated claims; however, the direct basis for **pre-vetting (사전심의)** is not that statutory article itself, but the *Regulation on the Review of Credit-Finance Advertising* (대부금융광고심의규정), organized and implemented by the Korea Loan-Finance Association (한국대부금융협회, CLFA); the rule's rulemaking authority, statutory basis, and normative character must be noted separately (neither the Korean Financial Services Commission press release nor the association materials cited in this appendix identifies its rulemaking authority). The CLFA had already conducted pre-vetting of advertisements in major daily newspapers and of cinema and television video advertisements; on **1 October 2022**,

the amended *Regulation on the Review of Credit-Finance Advertising* took effect, further bringing online video loan advertisements on social networking services (SNS) and similar channels within the scope of pre-vetting—publishing without review or inconsistent with the approved content may incur a monetary sanction of up to KRW 5 million (Act on Registration of Credit Business and Protection of Finance Users, Act No. 18713, §9-3; 대부금융광고심의규정; FSC press release, 2022-09-01; An et al., 2023).

Japan and Korea belong to the same category in the **organizational mode** of pre-vetting, but Japan's pre-vetting is dispersed across three layers: statute, cabinet office ordinance, and industry self-regulation. At the statutory level, the *Financial Instruments and Exchange Act* (FIEA; Act No. 25 of 13 April 1948 [Shōwa 23]; its Article 37 "Regulation of Advertising, etc." was newly added by the 2006 [Heisei 18] amendment and took effect on 30 September 2007 [Heisei 19]) requires financial instruments business operators to indicate in advertisements their trade name, registration number, and the matters specified by a Cabinet Order as important matters that may have an impact on customers' judgment, and prohibits indications "significantly contradictory to facts or seriously misleading" regarding matters such as profit projections (§37(1)(2)); the *Money Lending Business Act* (Act No. 32 of 13 May 1983 [Shōwa 58], effective 1 November 1983) Article 16 separately sets a prohibition on exaggerated advertising of loans.

On the basis of the statutes, industry self-regulation carries out the actual "pre-vetting" function: the Japan Securities Dealers Association (JSDA) *Rules Concerning the Display of Advertisements and the Provision of Premiums* (enacted 14 November 1974 [Shōwa 49]) Article 5 requires every member to appoint an "advertising review officer" to conduct pre-publication internal review of advertisements within the applicable scope (exceptions such as qualified investors must be stated separately in accordance with the rules); the Japan Financial Services Association (JFSA) *Detailed Rules on Advertising by Money Lenders* establishes a dedicated "advertisement placement review" (kōkoku shukkō shinsa), under which television commercials and newspaper/magazine advertisements for personal loans must pass the association's pre-placement review before they may run—functionally the closest counterpart to Korea's CLFA pre-vetting (FIEA §37, effective 30 September 2007; Cabinet Office Ordinance on Financial Instruments Business, etc. [Cabinet Office Ordinance No. 52 of 2007] §72 advertising-like acts • §73 methods of advertising indication; JSDA, Advertising Rules §4–§5, 1974; JFSA, Detailed Rules on Advertising by Money Lenders, advertisement placement review). The hallmark of the Japanese paradigm is: statutes spell out "the risk matters that must be indicated" in the finest detail (FIEA + Cabinet Office Ordinance), while "item-by-item pre-placement review" is mainly delegated to industry associations for self-regulatory enforcement.

In the language of Chapter 8, the pre-vetting paradigm moves the audit step upstream to before publication: association review and internal institutional approval constitute auditing work performed by macro- or meso-level meta-audit agents (A_{macro}, A_{meso}, Chapter 3) before the advertisement is published, and their existence and strength are recorded, at the corresponding level, as meta-audit capacity (A). Whether they further change the individual-level cognitive friction ($\mu_c = A \cdot E_c$, defined in Chapter 3 as the investment of work required for independent verification, reflection, and relational work) must be established separately for each context and cannot be inferred merely from the word "ex-ante" (association review, internal institutional approval, and administrative licensing are different institutions and should not be lumped together as "ex-ante licensing"). Ex-ante control is not unique to Korea and Japan—FINRA Rule 2210 likewise requires that retail communications be approved by a registered principal before use or filing, and that certain retail advertisements be filed with the regulator before first use; the distinctiveness of the Korean and Japanese cases lies in the organization of

the reviewing body: in Korea, the industry association (CLFA) conducts item-by-item pre-vetting of online video loan advertisements, while in Japan the JSDA organizes member-level internal review and the JFSA requires pre-placement review of personal-loan advertisements. The difference from the China-U.S.-Europe mainline, which centers on "ex-post enforcement + in-process compliance" (the institutional content-review mechanism of China's 2026 Measures already has an ex-ante character, see §A3.7), is better expressed as a different combination of reviewing body, applicable advertisement types, and point of intervention, rather than as a separate institutional position.

§A5 Implications for Chapter 8's Narrative-Arbitrage Framework

Within the MCAF meta-formula $\Delta D_c = C \cdot \Lambda \cdot \phi - A \cdot E_c \cdot \|L\|$, §A1–§A4 of this appendix can be compressed into a single summary judgment: the near-century of regulation shows jurisdictions continuously reconfiguring their governance tools among disclosure, restriction, liberalization, and review—these tools provide institutional conditions for compressing the narrative load (ϕ) and thickening the legitimacy base ($\|L\|$), yet the legislative trajectory alone cannot establish a sustained decline in the narrative leverage ratio. As to the direction of the tools: disclosure (TILA, Rule 482, MiFID II, CCD I) raises the observability and verifiability of risk information and can support audit capacity and procedural legitimacy; its effect on the conductivity coefficient (Λ) depends on the specific design—risk warnings may increase decision friction (PS23/6's "positive frictions" being exactly that form), and clear information may also improve transaction efficiency, so it cannot be uniformly described as an addition to Λ. Anti-fraud (§17, §10(b), Advertising Law §28) prohibits false or misleading narrative content; inducement prohibition (FINRA 2210, Advertising Law §25, PS23/6, the 2026 Measures) imposes dedicated restrictions on promotional content, guaranteed-promise claims, and solicitation incentives that are not uniformly premised on proof of falsity; and product structure constraint (the New Asset Management Regulations) restricts certain channels through which concealed risks form, but this does not mean that all shadow debt ceases to arise (channel-migration risk, see Chapter 8, footnote 2: after the New Asset Management Regulations, some shadow banking activities may migrate to other channels; the scale of migration requires independent post-implementation data evaluation, and this appendix does not assess it on the basis of Ehlers et al. (2018)).

Positioning clarification: the "mandatory accounting" of §7 Pathway One of Chapter 8 belongs, within this genealogy, to information obligations and auditability-building—complementary to product structure constraint (forcibly exposing the input side, so that structural opacity becomes auditable), but not identical with it; the threshold judgment it sets for AI governance still holds: information disclosure cannot be equated with effective protection—when transplanted to AI governance, misleading publicity, behavioral inducement, system permissions, and model interpretability must be handled separately; these problems can influence one another, yet cannot be subsumed under "structural opacity" and handled with a single instrument. This judgment that "disclosure is insufficient to correct behavioural exploitation" already has systematic doctrinal support (Ben-Shahar & Schneider, 2014; Loewenstein et al., 2014; Ren, 2021): Brenncke (2018) argues that the regulatory objective of financial advertising law should shift from ensuring that investors are adequately informed to "curbing behavioural exploitation" of cognitive biases—that is, introducing, beyond disclosure, structural intervention targeting the decision-making process itself; this is precisely the shared doctrinal basis of the UK's PS23/6 "positive frictions" and China's New Asset Management Regulations' "product structure constraint."

Three governance techniques from the three regions' nearly century-long history can serve as design refer-

ences for AI governance: **Section 17(b)-style endorsement disclosure** (1933)—when an AI product claims to be assessed and endorsed by some class of experts, the fees and interest relationship must be disclosed; this is a low-cost pioneering institution for the AI third-party-evaluation industry (its applicable subjects, exceptions, and implementation effects must be determined separately and reconciled with existing advertising, consumer-protection, and professional-responsibility rules); **TILA-style trigger-term disclosure** (1968)—when AI claims quantitative metrics such as "accuracy" or "pass rate," it must accompany disclosure of the sample scope, failure modes, and the train-test distribution gap; this is a trigger-term constraint on benchmark marketing; **PS23/6-style behavioral architecture** (2023)—introducing delayed purchase or third-party review mechanisms for high-risk AI Agent purchases (medical diagnosis, legal advice, financial decisions), directly intervening in the decision rhythm.

China's 2018 New Asset Management Regulations offer a special insight: together with the 2015 Advertising Law §25, the 2020 Measures for the Protection of Financial Consumers' Rights, and the 2026 Online Marketing Measures, they form a complete jigsaw of "content-side and structure-side linkage"—prohibiting expression alone without constraining structure will be circumvented by compliant rhetoric, while constraining structure alone without governing rhetoric will be circumvented by narrative repackaging. AI governance is not situated at a uniform historical starting point: regulated sectors such as finance have already applied existing marketing and disclosure rules to AI-related activities (the Delphia and Global Predictions cases being the Marketing Rule's application to AI claims), and the gap lies in cross-scenario coverage differences and dedicated rules for general AI-capability claims, diffuse cognitive harm, and third-party evaluation—"yet to be established" accurately refers to these dedicated institutions, and the counterpart referred to by "securities anti-fraud already exists" is SEC Marketing Rule enforcement rather than a product-liability-law framework.

§A6 Appendix References and Regulations

§A6.1 U.S. Regulations and Enforcement

Securities Act of 1933, 15 U.S.C. §77a et seq. (§17(a), §17(b)).

Securities Exchange Act of 1934, 15 U.S.C. §78a et seq. (§10(b)).

Truth in Lending Act of 1968, 15 U.S.C. §1601 et seq. (Pub. L. 90-321, Title I).

Investment Advisers Act of 1940, 15 U.S.C. §80b-1 et seq. (§206).

17 C.F.R. §230.482—Advertising by an Investment Company (1979).

17 C.F.R. §275.206(4)-1—Investment Adviser Marketing (2020 amended).

FINRA Rule 2210—Communications with the Public. https://www.finra.org/rules-guidance/rulebooks/finra-rules/2210.

SEC Release No. IA-5653 (2020-12-22). Investment Adviser Marketing. https://www.sec.gov/files/rules/final/2020/ia-5653.pdf.

U.S. Securities and Exchange Commission, Division of Investment Management (updated 2026-01-15). *Marketing Compliance—Frequently Asked Questions*. https://www.sec.gov/rules-regulations/staff-guidance/division-investment-management-frequently-asked-questions/marketing-compliance-frequently-asked-questions

SEC Press Release 2020-321 (2020-12-17). SEC Charges Robinhood Financial With Misleading Customers About Revenue Sources and Failing to Satisfy Duty of Best Execution. https://www.sec.gov/newsroom/press-releases/2020-321.

SEC Press Release 2022-183 (2022-10-03). SEC Charges Kim Kardashian for Unlawfully Touting Crypto Security.

SEC Order 33-11116 (2022-10-03). In the Matter of Kimberly Kardashian.

SEC Release No. 34-104877 (2026). FINRA Rule 2210 Proposed Amendment (SR-FINRA-2026-004).

SEC Release No. 34-106675 (2026-10-15). Order Approving a Proposed Rule Change, as Modified by Partial Amendment No. 1, to Amend FINRA Rule 2210 (Communications with the Public) (SR-FINRA-2026-004). https://www.sec.gov/files/rules/sro/finra/2026/34-106675.pdf.

SEC Release No. IA-6573 (2024-03-18). In the Matter of Delphia (USA) Inc., Admin. Proc. File No. 3-21894. https://www.sec.gov/litigation/admin/2024/ia-6573.pdf.

SEC Release No. IA-6574 (2024-03-18). In the Matter of Global Predictions, Inc., Admin. Proc. File No. 3-21895. https://www.sec.gov/litigation/admin/2024/ia-6574.pdf.

SEC Press Release 2024-8 (2024-01-24). SEC Adopts Rules to Enhance Investor Protections Relating to SPACs, Shell Companies, and Projections. Final Rule Release No. 33-11265. https://www.sec.gov/news/press-release/2024-8.

Throop, A. H. (1937-06-30). Financial Advertising Under the Securities Act of 1933. SEC Speech. https://www.sec.gov/news/speech/1937/063037throop.pdf.

U.S. Securities and Exchange Commission, Division of Investment Management (1992). *Protecting Investors: A Half Century of Investment Company Regulation*, Ch.9 Investment Company Advertising.

12 C.F.R. Part 1014—Mortgage Acts and Practices—Advertising (Regulation N). Authority: 12 U.S.C. 5512, 5581; 15 U.S.C. 1638 note; Federal Register, 2011-12-16.

FFIEC (2013). Social Media: Consumer Compliance Risk Management Guidance. 78 Fed. Reg. 76297 (Dec. 17, 2013); OCC Bulletin 2013-39.

§A6.2 EU / UK Regulations

Directive 2004/39/EC (MiFID I), Article 19(2).

Directive 2014/65/EU (MiFID II), Article 24. https://www.esma.europa.eu/publications-and-data/interactive-single-rulebook/mifid-ii/article-24.

Directive 2008/48/EC (Consumer Credit Directive I).

Directive (EU) 2023/2225 (Consumer Credit Directive II). https://eur-lex.europa.eu/eli/dir/2023/2225/oj/eng.

ESMA (2014). MiFID – Conduct of Business, Fair, Clear and Not Misleading Information: Peer Review Report. ESMA 2014/1485.

Central Bank of Ireland (2024-10-10). Dear CEO Letter: Common Supervisory Action on MiFID II Marketing Communications Requirements.

FCA Handbook COBS 4—Communicating with Clients, Including Financial Promotions.

FCA Policy Statement PS23/6 (2023-06). Financial Promotion Rules for Cryptoassets. http://www.fca.org.uk /publication/policy/ps23-6.pdf.

Regulation (EU) No 1286/2014 of the European Parliament and of the Council of 26 November 2014 on key information documents for packaged retail and insurance-based investment products (PRIIPs), [2014] OJ L352/1.

Regulation (EU) 2021/2259 of the European Parliament and of the Council of 15 December 2021 amending Regulation (EU) No 1286/2014 as regards the extension of the transitional arrangement for management companies, investment companies and persons advising on, or selling, units of undertakings for collective investment in transferable securities (UCITS) and non-UCITS (OJ L 455, 20.12.2021, p. 1).

Directive (EU) 2021/2261 of the European Parliament and of the Council of 15 December 2021 amending Directive 2009/65/EC as regards the use of key information documents by management companies of undertakings for collective investment in transferable securities (UCITS) (OJ L 455, 20.12.2021, p. 15).

Joint Committee of the European Supervisory Authorities (2016). Final Draft Regulatory Technical Standards on the PRIIPs Key Information Document (JC 2016 21).

Joint Committee of the European Supervisory Authorities (2023). Consolidated questions and answers (Q&A) on the PRIIPs Key Information Document (KID) (JC 2023 22, consolidated version of 5 December 2025). https://www.esma.europa.eu/document/consolidated-qas-priips-key-information-document.

Commission Delegated Regulation (EU) 2017/653 of 8 March 2017 supplementing Regulation (EU) No 1286/2014 as regards key information documents for packaged retail and insurance-based investment products (PRIIPs) by laying down regulatory technical standards with regard to the presentation, content, review and revision of key information documents, OJ L 100, 12.4.2017. https://eur-lex.europa.eu/eli/reg_del/2017/653/oj/eng.

Directive 2009/65/EC (UCITS IV).

Commission Regulation (EU) No 583/2010 implementing Directive 2009/65/EC as regards key investor information (UCITS KIID Regulation), [2010].

Financial Services and Markets Act 2000 (FSMA 2000), s 21.

Financial Services and Markets Act 2000 (Financial Promotion) Order 2005, SI 2005/1529.

Halsbury's Laws of England, Vol. 50, *Financial Services Regulation* (5th ed., London: LexisNexis Butterworths, 2016).

FCA Finalised Guidance FG15/4 (March 2015). Social Media and Customer Communications: The FCA's Supervisory Approach to Financial Promotion in Social Media. http://www.fca.org.uk/publication/finalised-guidance/fg15-04.pdf.

FCA Finalised Guidance FG24/1 (March 2024). Financial Promotions on Social Media. http://www.fca.org.uk /publication/finalised-guidance/fg24-1.pdf.

§A6.3 China Regulations

Advertising Law of the People's Republic of China (adopted 1994; amended 24 April 2015; further amended 26 October 2018 and 29 April 2021). Articles 25, 28, 56. https://www.samr.gov.cn/zw/zfxxgk/fdzdgknr/fgs/art/2023/art_5474cf75173c45d6a0379730fb4e8d97.html (In Chinese.)

Guiding Opinions on Regulating the Asset Management Business of Financial Institutions (Yinfa [2018] No. 106, the "New Asset Management Regulations"), 27 April 2018. https://www.gov.cn/gongbao/content/2018/content_5323101.htm (In Chinese.)

Implementation Plan for Carrying Out the Special Rectification of Risks in Internet Financial Advertising and Financial Activities Conducted in the Name of Investment and Wealth Management, State Administration for Industry and Commerce and 16 other agencies, April 2016. https://www.cac.gov.cn/2016-10/13/c_1119712280.htm (In Chinese.)

Implementation Measures of the People's Bank of China for the Protection of Financial Consumers' Rights and Interests (PBOC Order [2020] No. 5), effective 1 November 2020. https://www.gov.cn/gongbao/content/2020/content_5567753.htm (In Chinese.)

Administrative Measures for Online Marketing of Financial Products (Joint Announcement [2026] No. 9 of eight agencies), published 24 April 2026, effective 30 September 2026. https://www.nfra.gov.cn/cn/view/pages/ItemDetail.html?docId=1255778&itemId=928 (In Chinese.)

National Financial Regulatory Administration (2026-04-24). Officials Answer Reporters' Questions on the Administrative Measures for Online Marketing of Financial Products. NFRA website. (In Chinese.) https://www.nfra.gov.cn/cn/view/pages/ItemDetail.html?docId=1255773&itemId=917

§A6.4 Academic Literature

Akerlof, G. A. (1970). The Market for Lemons. *Quarterly Journal of Economics*, 84(3). https://doi.org/10.2307/1879431

Armour, J. et al. (2016). *Principles of Financial Regulation*. Oxford: Oxford University Press.

Ben-Shahar, O. & Schneider, C. E. (2014). *More Than You Wanted to Know: The Failure of Mandated Disclosure*. Princeton: Princeton University Press.

Brenncke, M. (2018). The Legal Framework for Financial Advertising: Curbing Behavioural Exploitation. *European Business Organization Law Review*, 19(4). https://doi.org/10.1007/s40804-018-0111-9

Edwards, F. R. (1996). *The New Finance: Regulation and Financial Stability*. Washington, DC: AEI Press.

Fleming, A. (2018). The Long History of 'Truth in Lending'. *Journal of Policy History*, 30(2). https://doi.org/10.1017/S0898030618000064

Jeunemaître, A. (Ed.) (1997). *Financial Markets Regulation: A Practitioner's Perspective*. Basingstoke: Macmillan Press (Studies in Regulation).

Loewenstein, G., Sunstein, C. R. & Golman, R. (2014). Disclosure: Psychology Changes Everything. *Annual Review of Economics*, 6. https://doi.org/10.1146/annurev-economics-080213-041341

Moloney, N. (2014). *EU Securities and Financial Markets Regulation* (3rd ed.). Oxford: Oxford University Press.

Ren, Chao (2021). Optimization of China's Financial Advertising Regulatory System: An Examination Based on Behavioral Finance and EU Experience. *Journal of Shanghai University of Finance and Economics*, 23(2). (In Chinese.)

Stigler, G. J. (1961). The Economics of Information. *Journal of Political Economy*, 69(3).

§A6.5 Industry Analysis and News

Chapman and Cutler LLP (2020-12-29). Addressing Marketing Activities by Registered Investment Advisers.

Clifford Chance (2023-07). The UK's Financial Promotions Regime: Bringing Cryptoassets into the Fold.

Dechert LLP (2026-02). Take Two: FINRA Revisits Proposal to Align Rule 2210 with the SEC Marketing Rule.

Mayer Brown (2026-01). SEC Staff Publishes New Marketing Rule FAQs.

Morgan Lewis (2026-03). Unfinished Business: FINRA's Proposed Rule 2210 Changes on Projections Fall Short of Marketing Rule Alignment.

Securities Times (2026-04-24). Comprehensively Regulating Online Marketing of Financial Products! Eight Agencies Including the PBOC Jointly Issue New Measures. (In Chinese.) https://www.stcn.com/article/detail/3808199.html

Xinhua News Agency (2026-04-24). Eight Agencies Issue New Rules to Strictly Regulate Online Marketing of Financial Products. (In Chinese.) https://www.news.cn/politics/20260424/dc7b4360a5c34e38afe41b131526253d/c.html

§A6.6 Other Jurisdictions (Korea)

Act on Registration of Credit Business and Protection of Finance Users (대부업법), Act No. 18713 (amended 2022-01-04, effective 2022-07-05), esp. §9-2 (prohibiting unregistered operators from publishing loan advertisements) and §9-3 (Prohibition of False or Exaggerated Advertising). Korea Ministry of Government Legislation (Korean): https://www.law.go.kr/LSW/lsInfoP.do?lsId=009348&ancYnChk=0 ; English version: https://www.law.go.kr/LSW/lsInfoP.do?lsiSeq=238935&chrClsCd=010203&urlMode=engLsInfoR&viewCls=engLsInfoR.

Regulation on the Review of Credit-Finance Advertising (대부금융광고심의규정), the Korea Loan-Finance Association (한국대부금융협회, CLFA). As amended, effective 2022-10-01, bringing online video loan advertisements on SNS and similar channels within the scope of pre-vetting (the direct normative basis for pre-vetting).

Financial Services Commission (금융위원회, FSC) (2022-09-01). Comprehensive Inspection of Illegal Video Loan Advertisements (불법 동영상 대부광고 일제 점검) press release (stating that the amended 대부금융광고심의규정 takes effect 2022-10-01 and that SNS online video advertisements are brought within pre-vetting). https://www.fsc.go.kr/no010101/78438.

Korea Loan-Finance Association (한국대부금융협회, CLFA, clfa.or.kr). Advertising review (사전심의/사후심의, pre-vetting / post-review) guidance for loan advertisements. https://www.clfa.or.kr/services/ad-review-guide (review guide); https://www.clfa.or.kr/services/ad-review/main/application (review application). (This entry uses the descriptive English rendering "Korea Loan-Finance Association"; institutional identification rests on the statutory Korean name and official sources.)

An, Lihuan et al. (2023). Korea's Principal Practices in Rectifying Illegal Financial Advertising and Their Implications for China. *Jilin Financial Research*, 2023(6). (In Chinese.)

§A6.7 Other Jurisdictions (Japan)

Financial Instruments and Exchange Act (金融商品取引法), Act No. 25 of 13 April 1948 [Shōwa 23] (originally the *Securities and Exchange Act*, 証券取引法), Article 37 (Regulation of Advertising, etc.: §37(1) indication obligations, §37(2) prohibition of indications significantly contradictory to facts or seriously misleading; this advertising-regulation article was newly added by the 2006 [Heisei 18] amendment and took effect on 30 September 2007 [Heisei 19]). Official Japanese (e-Gov): https://laws.e-gov.go.jp/law/323AC0000000025 ; official English (Japanese Law Translation, Ministry of Justice): https://www.japaneselawtranslation.go.jp/en/laws/view/2355/en ; FSA English PDF: https://www.fsa.go.jp/common/law/fie01.pdf.

Cabinet Office Ordinance on Financial Instruments Business, etc. (金融商品取引業等に関する内閣府令), Cabinet Office Ordinance No. 52 of 2007 [Heisei 19], effective 30 September 2007, Article 72 (advertising-like acts, 広告類似行為: defines the range of acts treated as similar to advertising) and Article 73 (methods of advertising indication, 広告等の表示方法; the umbrella term "advertising, etc." is defined in Article 73(1)). e-Gov: https://laws.e-gov.go.jp/law/419M60000002052.

Money Lending Business Act (貸金業法), Act No. 32 of 13 May 1983 [Shōwa 58], effective 1 November 1983 (originally the *Act on Controls, etc. on Money Lending*, 貸金業の規制等に関する法律), Article 16 (Prohibition of Exaggerated Advertising, etc., 誇大広告の禁止等). e-Gov: https://laws.e-gov.go.jp/law/358AC1000000032.

Japan Securities Dealers Association (JSDA), *Rules Concerning the Display of Advertisements, etc. and the Provision of Premiums, etc.* (広告等の表示及び景品類の提供に関する規則), enacted 14 November 1974, Article 4 (prohibited matters) and Article 5 (members must appoint an advertising review officer to review advertisements before publication). Rules PDF: https://www.jsda.or.jp/about/kisoku/koukokukisoku_150529.pdf ; Guidelines on Advertising, etc. PDF: https://www.jsda.or.jp/shijyo/seido/jishukisei/web-handbook/103_koukoku/230701_koukokushishin.pdf.

Japan Financial Services Association (JFSA), *Detailed Rules on Advertising by Money Lenders* (貸金業者の広告に関する細則), Chapter II "Advertisement Placement Review" (広告出稿審査: television commercials and newspaper/magazine advertisements for personal loans must pass the association's pre-placement review) and Chapter IV "Prohibition of Exaggerated Advertising, etc." (誇大広告の禁止等). Review-standards PDF: https://www.j-fsa.or.jp/doc/association/regulation/exam_std_250402.pdf ; advertisement-placement-review page: https://www.j-fsa.or.jp/association/regulation/examination.php.